

Risk Assessment

Prepared by: Daniel Gbenga Tetenu

Company Overview

Company Name: NorthStar Logistics Ltd.

Industry: Logistics and Supply Chain Management

Headquarters: Oslo, Norway

Primary Server Location: Frankfurt, Germany

Employees: 250

Work Arrangement:

- 150 employees work remotely.
- 100 employees work from headquarters.

Critical Assets:

- Customer database
- Employee records
- Financial systems

- Shipment tracking platform
- Corporate email system

Security Objective:

Protect sensitive business information while maintaining the availability, integrity, and confidentiality of business operations.

NorthStar Logistics Ltd. relies heavily on digital technologies to manage logistics operations, customer information, financial records, and employee communications. Because the organization operates with both remote and office-based employees, it faces numerous internal and external cybersecurity risks. This assessment identifies significant risks, evaluates their potential impact, and determines the organization's tolerance for each identified risk.

Step 1 – Risk Identification**External Risks****1. Ransomware Attack**

Cybercriminals may deploy ransomware against company servers or employee devices, encrypting critical business data and demanding payment for its release.

Reason for Consideration: NorthStar Logistics depends on continuous access to shipment tracking systems and customer information. A ransomware attack could significantly disrupt daily operations.

2. Distributed Denial of Service (DDoS) Attack

Attackers may overwhelm the company's public-facing systems with excessive network traffic, making online services unavailable to customers and employees.

Reason for Consideration: The company relies heavily on online logistics platforms. Service disruption could negatively affect customer satisfaction and business continuity.

3. Third-Party Vendor Compromise

A supplier or external service provider could experience a cybersecurity breach that indirectly affects NorthStar Logistics.

Reason for Consideration: The organization depends on external vendors for technology and operational support. Weak vendor security may introduce additional organizational risk.

4. Natural Disaster or Power Failure

Unexpected natural events or prolonged power outages affecting the data center could interrupt business operations.

Reason for Consideration: Although servers are professionally hosted, physical disruptions may still affect system availability and business continuity.

Internal Risks

1. Phishing Attacks

Employees may unknowingly disclose usernames, passwords, or sensitive company information after receiving fraudulent emails.

Reason for Consideration: Remote employees frequently communicate electronically, increasing exposure to phishing attempts.

2. Weak Password Practices

Employees may use weak or reused passwords that can be compromised through password attacks.

Reason for Consideration: Weak authentication significantly increases the likelihood of unauthorized access to company systems.

3. Lost or Stolen Company Devices

Laptops or mobile devices containing company information may be lost or stolen.

Reason for Consideration: Remote work increases the possibility of devices being misplaced outside secure office environments.

4. Insider Threat

An employee or contractor may intentionally or unintentionally misuse company information or systems.

Reason for Consideration: Individuals with authorized access can expose sensitive information or bypass existing security controls if proper monitoring is not maintained.

Step 2 – Impact Assessment

1. Ransomware Attack

Impact:

A ransomware attack could make critical business systems and customer data inaccessible, causing major operational disruption and financial losses.

Explanation:

If attackers encrypt company servers or employee devices, NorthStar Logistics may lose access to shipment tracking, financial records, and customer information until systems are restored from backups or recovered.

2. Distributed Denial of Service (DDoS) Attack

Impact:

Customers and employees may be unable to access the company's online services, resulting in interrupted business operations and reduced customer confidence.

Explanation:

A successful DDoS attack overwhelms network resources, making public-facing systems unavailable for legitimate users.

3. Third-Party Vendor Compromise

Impact:

Sensitive company information may be exposed, and business operations could be disrupted due to weaknesses in external service providers.

Explanation:

If a trusted vendor experiences a cybersecurity breach, attackers may gain indirect access to company systems or confidential information.

4. Natural Disaster or Power Failure

Impact:

Critical business services may become temporarily unavailable, affecting productivity and customer service.

Explanation:

Unexpected disasters or prolonged power outages may interrupt server availability, preventing employees from accessing essential business systems.

5. Phishing Attacks

Impact:

Unauthorized individuals may gain access to company accounts and sensitive information.

Explanation:

Employees who unknowingly disclose login credentials may allow attackers to compromise business systems and confidential data.

6. Weak Password Practices

Impact:

Unauthorized users may successfully access company systems and sensitive information.

Explanation:

Weak or reused passwords increase the likelihood of credential theft and account compromise through password attacks.

7. Lost or Stolen Company Devices

Impact:

Sensitive company information may be exposed if lost devices are accessed by unauthorized individuals.

Explanation:

Remote employees frequently transport company devices, increasing the possibility of theft or accidental loss outside secure environments.

8. Insider Threat

Impact:

Confidential information may be intentionally or unintentionally disclosed, leading to financial loss, reputational damage, or regulatory penalties.

Explanation:

Employees with legitimate access may misuse company resources or accidentally expose sensitive information if proper monitoring and security controls are not maintained.

Step 3 – Risk Tolerance

1. Ransomware Attack

Risk Tolerance: Low

Reason:

NorthStar Logistics cannot tolerate ransomware because it could halt business operations, expose sensitive information, and result in significant financial and reputational damage.

2. Distributed Denial of Service (DDoS) Attack

Risk Tolerance: Medium

Reason:

The organization has some tolerance for temporary service disruptions if appropriate mitigation controls are in place, but prolonged outages are unacceptable.

3. Third-Party Vendor Compromise

Risk Tolerance: Low

Reason:

Third-party providers have access to important business information; therefore, any compromise could have serious consequences for security and compliance.

4. Natural Disaster or Power Failure

Risk Tolerance: Medium

Reason:

Although natural disasters cannot be prevented, the company can reduce their impact through disaster recovery planning, backups, and business continuity procedures.

5. Phishing Attacks

Risk Tolerance: Low

Reason:

Successful phishing attacks frequently lead to credential theft, malware infections, and unauthorized access to sensitive business systems.

6. Weak Password Practices

Risk Tolerance: Low

Reason:

Weak passwords create unnecessary security risks and can easily be mitigated through strong password policies and multi-factor authentication.

7. Lost or Stolen Company Devices

Risk Tolerance: Medium

Reason:

The organization accepts a limited level of risk because employees frequently travel, but encryption and remote device management should minimize potential damage.

8. Insider Threat

Risk Tolerance: Low

Reason:

Insider threats can bypass many security controls due to legitimate access privileges, making continuous monitoring and access control essential.

Conclusion

This risk assessment identified the key internal and external cybersecurity risks facing NorthStar Logistics Ltd. and evaluated their potential impact and acceptable risk tolerance. The findings emphasize the importance of implementing effective security controls, employee awareness, continuous monitoring, and regular risk assessments to reduce cybersecurity risks and support secure business operations.

